



For the buyer again, accounting for 16th October to 17th October price movement, there is a loss of ₹175. The total loss amount payable by the buyer to the seller is ₹17,500. This will be deducted from the margin account of the buyer.

The seller, on the other hand, is credited with ₹17,500 in his account. The balance on the seller's side stands at ₹90,000. The surplus of ₹30,000 may be withdrawn by him.

DAY2

	SELLER	BUYER
Balance b/f of day 1	₹72,500	₹60,000
- Loss of ₹175 (175 x 100)	₹17,500	(₹17,500)
Total balance	₹90,000	₹42,500
The balance of the Buyer ₹42,500 < ₹60,000 (margin), due to which a margin call would be sent to bring additional funds of ₹17,500.		
- Withdrawals	—	—
+ Additional Margins	—	₹17,500
Total balance	₹90,000	₹60,000



NOTE : For the continuation of the example, let us assume that no withdrawals were made and the balance is the same as stated after profit adjustment.